

► SLIDE 1 — Title

NARRATOR: June 2012. A tanker is heading for Butinge, Lithuania, carrying 25,000 tonnes of crude oil mix. The buyer walks away. The seller claims \$1.36 million. They end up in a London courtroom.

► SLIDE 2 — The question / \$1,363,255.59

NARRATOR: The case turns on one question: are the cargo specifications part of the description of the goods, or merely statements about quality?

NARRATOR: If they are description, Orlen can reject the cargo. If they are quality, the contract stays alive and the remedy is damages.

NARRATOR: Three sections of the Sale of Goods Act matter. Keep them in mind: sections 11, 13 and 14.

[Narrator holds up the printed Annexure.]

SCENE 1 - The deal that maybe was not

The two clients. 3 min. Both play out to the audience, not to each other.

► SLIDE 7 — Timeline of the deal

PROTON: *(into phone, then to the audience with enormous satisfaction)* Yeah. Yeah. Twenty five thousand tonnes, CIF Butinge, seller option plus minus ten. Call you back.

PROTON: Geneva. Oil trading. We close deals in the time this institute gives to attempt an MGR-CMP quiz

ORLEN: I buy crude for a refinery. He sells whatever happens to be floating. You can already see how this ends.

PROTON: Fourteenth of June, 2012. I send a firm offer. Twenty five thousand metric tonnes, plus or minus ten percent at my option, CIF Butinge. Product: Crude Oil Mix, customs code CN27090090. Delivery tenth to fifteenth of July. Price attached, and the price, if I may say so, was generous.

ORLEN: Attached to that same email, the specification of the cargo. Which I read. Twice. Then I ran it through our refinery model to work out my margin, because crude oil mix is not a product, it is a category, and you cannot pour a category into a distillation column.

PROTON: And you liked what you saw. Because you replied the same day, with one word.

► SLIDE 8 — "Confirmed."

ORLEN DOES A QUICK READING OF THE EMAIL, DOES BLAH BLAH BLAH IN SAMRAT'S STYLE;

"Crude Oil...BLAH BLAH BLAH,

Viscosity...BLAH BLAH BLAH,

Blend Percentage...BLAH BLAH BLAH

ORLEN: *(flatly, as the slide lands)* Confirmed.

PROTON: Confirmed. Shortest email of my career. Best day of my quarter. So I did what any trader does after a confirmed spot deal. I went out and bought the cargo from Trafigura, contractually, that same day. In my market you do not confirm and then think about it. You confirm and then buy.

ORLEN: Then she sent me a twenty page contract to paper a deal she says was already done.

PROTON: To paper the details. Demurrage, inspection, small print. The commercial terms were agreed on the fourteenth.

ORLEN: Drafts went back and forth. she sent a revised one on the twenty seventh of June. On the twenty ninth, I wrote to her withdrawing from the negotiations.

PROTON: *(to the audience, gesturing at the screen)* Negotiations. He is looking at a one word email that says confirmed and calling it a negotiation.

[Orlen's phone rings. Orlen turns away.]

ORLEN: *(into phone, tense, then to the audience, brightly)* Yes. No. I understand. Yes, I will handle it.

ORLEN: Internal matter.

PROTON: By the twenty ninth, my cargo was on a ship pointed at his terminal. It arrived at Butinge. He did not take it. On the second of July I told him: that is a repudiatory breach, I am terminating, and I am claiming damages. One million, three hundred and sixty three thousand, two hundred and fifty five dollars. And fifty nine cents.

ORLEN: And I will say in court what I will say now.

WE DISPLAY THE SLIDES ON BISLERI AND ADIDAS

ORLEN: Can you tell me what you see here? Are these both the same???

ORLEN: *(bringing and raising both bottles, first to the audience, then the prof)* Are these 2 bottles the same??? *This* is what I ordered. And *this* is what turned up.

PROTON: *(sunglasses still on)* Bold exhibit from a man who never opened the ship.

ORLEN: Then read out what you wrote to your own supplier on the thirtieth of June. Out loud.

PROTON: *(pause, then flat)* There is a sharp deviation in several parameters which are guaranteed in our contract.

ORLEN: Louder.

[Proton takes the sunglasses off. Both sit.]

SCENE 2 - The three sections that decide everything

Narrator alone. About 1 min 20 s. Keep it sharp.

► **SLIDE 3 — Section 11(1)(b) - condition v warranty**

NARRATOR: Section 11: a condition gives the buyer a right to reject; a warranty gives damages only. The court decides which one a term is by construing the contract—not by its label.

NARRATOR: Section 13: in a sale by description, the goods must correspond with the description. Description is about identity—what are the goods?

► **SLIDE 4 — Section 13 - sale by description**

NARRATOR: Section 14 deals with quality and fitness. Quality is generally separate from description, unless the contract makes it a condition.

NARRATOR: Section 14(4) matters too: the parties can make a quality requirement an express condition if they choose.

► **SLIDE 5 — Section 14 - quality and fitness**

NARRATOR: So the fight is simple: is the specification part of the product's identity, or is it a quality term?

NARRATOR: Think coffee. Tea instead of coffee: different thing, so description. The right coffee, but badly made: quality. Section 13 protects against the first problem.

NARRATOR: Now watch where the specification appears in this contract.

► **SLIDE 6 — Which sections do the work today**

NARRATOR: Three sections. Section 13 asks what was sold. Section 11 tells us the remedy. Section 14 shows how quality can be dealt with separately.

NARRATOR: The key distinction: different is not the same as worse. Now, let's see which side wins.

SCENE 3 - In court

All six. 4 min 45 s. This is the content. Do not cut it.

► **SLIDE 9 — Issue 1 - was there a contract? Held: yes**

[Judge knocks. Counsel take position at opposite ends.]

JUDGE: I have found that a binding contract was concluded on the fourteenth of June. This was a classic spot deal, in a market whose speed requires that the parties agree the main terms and leave the details, some of which may be important, to be discussed later. The language on both sides was the language of commitment. Proton bound itself to Trafigura the moment the deal was confirmed, which shows that it regarded itself as committed to Orlen, and the fact that Orlen also saw itself as committed means that both sides did. Orlen's withdrawal on the twenty ninth was repudiatory.

JUDGE: That leaves the second issue. Orlen says that even if there was a contract, it would have been entitled to reject this cargo for misdescription. Counsel for Orlen.

► **SLIDE 10 — Orlen's case**

COUNSEL FOR ORLEN: My Lord. Section 13 provides that, where goods are sold by description, there is an implied condition that the goods must correspond with that description. A condition - not merely a warranty. And under section 11, breach of a condition gives my client the right to treat the contract as repudiated.

COUNSEL FOR ORLEN: Benjamin puts the principle strictly: a buyer is entitled to refuse goods that are not what he agreed to buy. Even a slight discrepancy in the description may therefore give rise to a right of rejection.

COUNSEL FOR ORLEN: Lord Diplock, in *Ashington Piggeries*, said that description is concerned with the words intended to identify the kind of goods to be supplied. The key to section 13 is identification. So I ask the court: what identifies this cargo?

COUNSEL FOR ORLEN: Not the name. This is not petrol or diesel - those names identify established products. 'Crude Oil Mix' does not. A hundred different cargoes could answer to that label.

The specification is what tells my client what he is actually buying: what he can pay for it, what he can refine, and whether he wants it at all. In ordinary commercial terms, the specification is therefore the description. My client may demonstrate.

[Orlen stands, holding up both bottles, one in each hand.]

ORLEN: My Lord. This is the cargo I agreed to buy. This is the cargo that arrived. I am not a lawyer. I am a person with eyes.

PROTON: *(to the audience, not standing)* They are both oil. One of them is mildly disappointing oil.

JUDGE: Counsel for Proton.

► **SLIDE 11 — Proton's case**

COUNSEL FOR PROTON: My Lord, the specification was neither an express condition nor an implied one, and I have two reasons to back the same. The first is commercial. Everyone in this trade knows that on a blended cargo the contractual specification and the delivered specification will not be identical. You test at the load port, the cargo travels for a fortnight, you test again at discharge, and the numbers move. It would have been uncommercial for these parties to have agreed otherwise, and this contract contained no implied condition to that effect. On my friend's case, no blend cargo anywhere in the world is safe from rejection.

COUNSEL FOR PROTON: The second reason is the document itself. Section 13 implies a condition about the description of goods. It says nothing about their quality. So look at how this contract is actually built. My client may demonstrate.

► **SLIDE 12 — Clause 3 PRODUCT v Clause 4 QUALITY**

[Proton stands and holds up the two folders, one in each hand.]

PROTON: Clause 3 of the contract. Headed Product. It says Oil Blend, CN 2710. That is what I sold him.

PROTON: Clause 4. Headed Quality. It sets out the SGS analysis at the load port. And the specification, the famous specification, the one we have all come here about, went in here.

[Proton holds up the SPECIFICATION sheet, pauses long enough for the room to look at it, and drops it into the QUALITY folder.]

PROTON: Not the Product folder. The Quality folder. His entire case is that my paper landed in the wrong file.

► **SLIDE 13 — The precedents**

COUNSEL FOR PROTON: And the authorities are with us. In Tradax vs Goldschmidt, a barley contract provided that foreign matter should not exceed four percent. It was accepted that the provision as to impurities was not part of the description, so section 13 gave no right to reject. In R G Grain Trade vs Feed Factors, Ukrainian sunflower expeller was sold with specifications: protein minimum thirty two percent, fibre maximum twenty three percent. The fibre arrived at 26.57 percent. The buyer cried misdescription. The court said no, and gave its reason: the term did not appear next to the description, it appeared under a heading called Specifications, beside protein, which is clearly a matter of quality rather than description.

COUNSEL FOR ORLEN: My Lord, on that reasoning, could a seller escape a contractual quality obligation simply by putting the specification under a convenient heading?

COUNSEL FOR PROTON: He does not, and section 14(4) is the answer. The parties may write express conditions into their contract. My friend's client did not do so. What the statute implies is description. It does not imply quality. And quality is not left unprotected: it sounds in damages, which my friend's client remains perfectly free to claim.

COUNSEL FOR PROTON: One further matter, My Lord. My friend says the name told his client nothing. His client was asked, in terms, whether calling the product Crude Oil Mix was acceptable to it. Parties do not seek approval for a label they regard as meaningless.

[Narrator steps forward. The court freezes.]

► **SLIDE 14 — Poll - can Orlen reject?**

NARRATOR: Before My Lord rules. Hands up, please, and commit. Who thinks Orlen was entitled to reject this cargo and walk away?

[Count out loud. Give the room an actual number.]

NARRATOR: And who thinks Orlen was stuck with it? Right. Remember your hand.

SCENE 4 - Judgment

Judge, unhurried, mostly to the audience. 2 min 30 s. No reactions, no jokes, no props in his hands. He simply decides.

► **SLIDE 15 — Held**

JUDGE: The specification was not part of a sale by description. As Benjamin points out, description and quality are in principle different notions, and the key to description is identity. The cases show that the distinction is sometimes blurred, and that the two may overlap

where, for example, a word of description identifies the quality of the product. I see no such blur or overlap in this case.

JUDGE: The contract document starts by confirming a sale of Oil Blend. Clause 3, headed Product, describes it as Oil Blend, CN 2710. That is the description of the product. Clause 4, headed Quality, sets out the details of the SGS report of the analysis at the load port. That is the quality of the product. The parties separated the two themselves.

JUDGE: On the name: Proton asked Orlen whether calling the product Crude Oil Mix was acceptable to it. That indicates that the name applied to the product was a label of convenience, not something of fundamental importance.

JUDGE: The document, and my perception of it, are consistent with the commercial reality that test results at the end of a voyage may differ from those at the outset. Further, if the specification had been a sale by description, Proton would have had to comply with it in every respect as a condition of the deal. And the fact that a buyer would not purchase without knowing the specification is as much an indication of concern about quality as it is about description. The parties are always free to make the quality a condition of the deal. Unlike description, it is not implied by statute.

JUDGE: I add this. As Lord Justice Roskill observed in the Hansa case, a court should not be over ready to construe a term in a contract as a condition, any breach of which gives rise to a right to reject. Contracts are made to be performed and not to be avoided according to the whims of market fluctuation, and where there is a free choice between two possible constructions the court should prefer the one which ensures performance.

► **SLIDE 16 — The ratio - worse is not different**

JUDGE: Two bottles were produced to this court. Both of them, I am told, are oil blend. One of them is worse oil blend. Worse is not the same as different. Section 13 protects a buyer against different. It does not protect him against worse.

JUDGE: The termination of the contract by Orlen was therefore unjustified. Proton has the right to claim damages for that termination. But the losses arising to Orlen from the lower quality of the product will be subtracted from the award. Proton does not get paid for what it did not deliver.

[Gavel.]

ORLEN: Can I have these at least, My Lord

JUDGE: No, You can't remove the exhibits.

ORLEN: Aah, I should go and close my company!

NARRATOR: Hands up again. Who had Orlen walking away free?

[Count. React to whatever number you get, then move on quickly.]

NARRATOR: So the buyer who wanted out of the contract stayed in it, and the seller who shipped a bad cargo won, but won less.

SCENE 5 - What we are actually supposed to take away

All six in a line, one point each. 1 min 45 s.

► **SLIDE 17 — Four takeaways**

NARRATOR: Four things, and then you can have your break.

COUNSEL FOR ORLEN: One. A condition and a warranty differ in their remedy. Breach of a condition can give the buyer a right to reject; breach of a warranty generally gives a right to damages. And section 11 makes clear that the court looks at the construction of the contract - not simply the label the parties have used.

COUNSEL FOR PROTON: Two. Section 13 implies a condition about description only. Description answers what is this thing. Quality answers how good is it. Get the identity wrong and you have delivered a different thing, so the buyer rejects. Get the quality wrong and you have delivered the right thing badly, so the buyer claims damages. And anything not mentioned in the contract at all falls outside description entirely.

ORLEN: Three, and this one should worry everybody here who signs a contract next year. *Where* a term physically sits in the document can decide whether you can walk away from a million dollar cargo. Tradax, R G Grain and this case all turned on the same thing. A number under a heading called Quality or Specifications is a quality term. Headings are not decoration.

PROTON: Four. If a parameter is deal critical for you, sulphur for a refiner, protein for a feed mill, purity for a pharma buyer, do not rely on section 13 to protect it. Section 14(4) lets you make it an express condition with an express right of rejection. Use it. And if you are the seller, do the opposite: put your numbers in a quality clause, state a tolerance band, and attach a price adjustment formula, so a deviation costs you a discount instead of the whole deal.

► **SLIDE 18 — India - sections 15 and 16, Sale of Goods Act 1930**

JUDGE: And note that none of this is foreign law. The English Act of 1893 was copied into the Indian Sale of Goods Act, 1930, where sale by description is section 15 and the quality and fitness conditions are section 16. The reasoning you have just heard is the reasoning an Indian court applies to the same words.

► **SLIDE 19 — End**

NARRATOR: The cargo that arrived at Butinge was the same cargo either way. What decided the case was which folder the paper went into.

[Proton puts the sunglasses back on. All bow. End.]

Delivery notes

- Guard the Judge. He has the fewest lines and the most weight. He does not react to the bottles, does not joke, does not lean in. He states what was decided and why. If he starts playing to the room, the ruling stops sounding like a ruling.

- Sass belongs to Proton, grievance belongs to Orlen. Both clients play out to the audience rather than at each other, which is what makes the asides land without turning the court into a shouting match.
- Counsel get one interruption each, both in Scene 3, and that is the whole allowance. Heat between the lawyers is fine; comedy between the lawyers flattens the clients.
- Scene 1 feels long in rehearsal and lands in performance. It is the only reason the audience can follow the argument in Scene 3. If you are tempted to cut it, cut Scene 5 instead.
- The two moments to slow down for: Orlen raising the bottles, and Proton dropping the specification sheet into the Quality folder. Pause before each. Let the room look.
- Say these two numbers slowly and take everything else at pace: 1,363,255.59 and 26.57 percent.
- Running long? Cut in this order: the second poll, then the Judge's India paragraph (move it to Q and A), then the Orlen and Proton points in Scene 5. Never cut Scene 1 or Scene 3.
- The Narrator holds the clicker. Slide cues are marked in the script; every cue is a beat, so the click should land on the line, not after it.

Likely questions afterwards

- Would the answer change under Indian law? No. Sections 15 and 16 of the Sale of Goods Act, 1930 carry the same wording, because the Indian Act was copied from the English Act of 1893. The English judgment is persuasive here, not binding.
- So Orlen got nothing for the bad cargo? It got the value of the quality shortfall subtracted from the damages it had to pay. Quality was still protected, through damages instead of a right to reject.
- What if the deviation had been enormous? Then the concepts can blur, which the judge expressly allowed for. If the cargo were so far off that it was a different kind of product rather than a poor version of the same one, description would bite and rejection would be available.
- Could Orlen have used section 14(2), merchantable quality? It is an implied condition, so in principle yes, but the argument was not run on those facts, and on this contract the parties had written their own quality clause with an agreed load port analysis. Section 14(4) then governs how an express term and an implied one sit together.
- Why does the law lean against conditions? Because a right to reject lets a buyer escape a deal for reasons that have nothing to do with the breach, usually a market that has moved. Roskill's point in *Hansa* is that courts should prefer the construction that keeps contracts alive.